

Money and Credit

Social Science — Economics • Chapter 3 • Chapter Summary & Study Guide for Daksh

Imagine if you had to pay for your school books with rice. How would the bookshop owner decide how much rice is fair? And what if she didn't want rice — only sugar? **Money** ends this puzzle. It is the great lubricator of the modern economy. This chapter looks at how money replaced barter, the role of banks, the two faces of credit (formal and informal), and the rural success story of **Self-Help Groups (SHGs)**.

Money — what it is and why we need it

Earlier, exchange happened by **barter** — directly trading one good for another. Barter requires a '**double coincidence of wants**': both sides must want what the other has. Money eliminates this:

- **Modern money** is a generally accepted *medium of exchange*. Whoever holds it can use it to buy almost anything.
- Forms of money: **currency** — paper notes and coins issued by the **Reserve Bank of India (RBI)** on behalf of the central government. No one else can issue them legally.
- Money also includes **deposits with banks**. People keep their money in banks for safety; this can be withdrawn through cheques, debit cards, UPI, etc. — these '*demand deposits*' are also accepted as a means of payment.

How banks work

Banks accept deposits and pay a low rate of interest. They keep a small proportion (~15%) as **cash reserves** in case people come to withdraw. The rest, they lend out to people and businesses — at a higher interest rate. The difference between interest received from borrowers and paid to depositors is the bank's main income.

- Banks **mediate** between those who have surplus money and those who need money.
- They are crucial for the economy — channelling savings into productive use.
- Major banks in India: SBI, PNB, HDFC, ICICI, Axis. Co-operative banks too.

Two faces of credit

Credit (**loan**) is borrowing money — a powerful tool, but also dangerous. Two stories illustrate:

- **Salim's case (festive season)** — needed money to fulfil shoe export orders. Got short-term loan, completed orders, repaid. Credit helped him expand. **Positive** outcome.
- **Swapna's case (Andhra Pradesh)** — small farmer borrowed at very high interest from moneylender for seeds, fertilisers. Crop failed. To pay last year's debt, borrowed even more next year. Trapped in **debt-trap**. **Negative** outcome.

Terms of credit include: interest rate, collateral (asset pledged as guarantee — land, jewellery, deposits), documentation, mode of repayment. **High collateral demands** exclude the poor.

Formal vs Informal credit

FORMAL sector loans

- Banks
- Co-operative societies
- Reserve Bank of India supervises (interest rate, terms of credit transparently set)
- Lower interest rates, formal contract

INFORMAL sector loans

- Moneylenders
- Traders
- Employers
- Relatives & friends
- No supervision
- Very high interest rates, often unfair terms

RBI publishes information on the formal sector. Surveys show:

- Around half of total credit needs of rural households is met by informal sources — at very high cost.
- Poorer households depend more on the informal sector. Richer households mostly use the formal sector.
- The cost of informal credit is high; it doesn't promote development; some lenders use unfair coercion.

- **Expanding formal credit** at fair rates to all is therefore essential — especially to the poor.

Self-Help Groups (SHGs) — banks for the rural poor

SHGs are small groups of (typically) 15-20 women from the same neighbourhood who meet regularly, save small amounts, and lend to each other from this pool. After 1-2 years of regular savings, the SHG becomes eligible for a **bank loan**:

- Bank lends to the SHG — not to individual women — in the name of the group.
- The group decides who gets the loan, the rate, repayment schedule.
- Peer pressure ensures repayment. Almost no defaults.
- **Empowers women** — gives them a voice on family financial decisions.
- Provides a path out of the trap of moneylenders.
- Promoted by NGOs, NABARD, state governments. **Andhra Pradesh, Karnataka, Tamil Nadu** have very strong SHG networks.

★ MUST-REMEMBER POINTS

- Money solves the problem of double coincidence of wants in barter.
- RBI is the only authority that issues currency in India.
- Demand deposits = money in banks, withdrawable on demand → also money.
- Banks keep ~15% as cash reserve, lend the rest. Interest spread is their income.
- Terms of credit: interest rate, collateral, documentation, mode of repayment.
- Formal credit (banks, co-ops, supervised by RBI) vs Informal (moneylenders, traders — high interest, exploitative).
- SHGs lend to women's groups, almost no default, empower rural women financially.

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